# Global bond flows compass

## Tactical inflows into EM as yields fall

Fixed Income
Rates

Global

- Broad-based EM inflows look tactical, not structural
- With US CPI in line and summer liquidity thin, inflows should remain steady but headline-sensitive
- Hedging costs are the swing factor in foreign demand for KTBs

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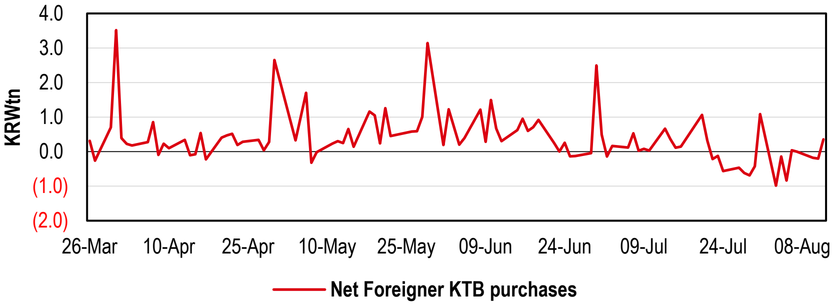
**Chart of the week: Foreigners have been net selling KTBs since end of July**




Source: KTBInfo, HSBC

**Figure 1. Monthly trends in offshore bond flows of EM sovereign debt**

Foreign flows into sovereign debt (USDbn)

| | 2022 | 2023 | 2024 | 2025 | 2026 | 25-Aug | 25-Sep | 25-Oct | 25-Nov | 25-Dec | 26-Jan | 26-Feb | 26-Mar | 26-Apr | 26-May | 26-Jun | 26-Jul | 26-Aug |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| CNY | -23.9 | -1.2 | -32.4 | -7.5 | 1.3 | -2.0 | -0.8 | 5.4 | -2.3 | -2.9 | -3.0 | 2.8 | -7.6 | -1.4 | 9.0 | 1.6 | | |
| KRW | 4.7 | 16.0 | 13.0 | 43.2 | 10.7 | -0.2 | 1.1 | 0.6 | 11.5 | 3.9 | 2.7 | 5.4 | -5.9 | 2.3 | 6.2 | 3.0 | | |
| CZK | 4.0 | 15.9 | -6.8 | -0.6 | 3.8 | 0.6 | 0.0 | -0.3 | 3.0 | -1.5 | 2.9 | 1.6 | -0.9 | 2.2 | -2.0 | 0.8 | | |
| PEN | -1.9 | -0.3 | 3.3 | 3.7 | 2.0 | 0.6 | 0.1 | 0.4 | -0.0 | -0.3 | 0.3 | 0.7 | -0.3 | 0.6 | 0.4 | 0.3 | 0.4 | |
| ILS | -1.9 | 3.6 | -2.8 | 3.8 | 1.5 | -0.3 | -0.1 | 1.5 | 0.9 | 0.5 | 0.7 | -0.9 | -0.1 | 1.2 | 0.6 | | | |
| COP | 4.8 | -2.5 | -1.0 | 15.8 | -2.5 | 0.8 | 8.0 | -0.6 | 0.4 | 7.0 | 0.3 | 2.3 | -1.8 | -3.6 | -1.2 | 1.4 | | |
| HUF | 2.7 | 2.0 | -2.5 | 2.4 | 13.6 | 2.1 | 0.2 | 1.2 | 0.8 | -5.1 | 6.9 | 0.7 | -2.3 | 2.8 | 2.9 | 2.1 | 0.4 | |
| MYR | -1.8 | 5.4 | 0.5 | 4.5 | 0.3 | 0.8 | -1.5 | 0.8 | 1.0 | 0.5 | 0.4 | -0.2 | 0.8 | 0.0 | -1.7 | 1.0 | | |
| THB | 0.8 | -2.5 | -1.7 | 1.5 | 0.7 | -0.3 | 0.1 | 1.1 | 0.3 | -0.3 | 1.3 | -0.1 | -0.3 | 0.3 | 0.5 | -0.6 | -0.3 | 0.3 |
| PLN | 4.9 | -3.2 | 4.1 | 6.7 | 8.8 | 1.3 | -1.2 | 1.4 | -0.7 | 1.3 | 3.7 | 2.1 | -1.4 | 0.2 | 4.2 | -1.8 | | |
| ZAR | 0.3 | 2.9 | 4.3 | 4.7 | 1.6 | 1.9 | 4.5 | -2.1 | -1.6 | -0.9 | 2.1 | 1.2 | -3.8 | 1.4 | 0.6 | 0.0 | 0.2 | |
| TRY | -2.4 | 2.0 | 16.1 | 2.5 | 1.1 | 1.4 | 0.3 | 0.1 | 1.7 | 0.4 | 4.0 | 0.5 | -5.8 | 0.4 | -0.6 | 0.8 | 2.9 | |
| IDR | -8.9 | 5.4 | 2.4 | 0.2 | 0.4 | 1.1 | -2.7 | -1.8 | -0.4 | 0.4 | 0.0 | -0.2 | -1.3 | 0.8 | -0.2 | 1.3 | 0.4 | 0.2 |
| BRL | -7.1 | 11.9 | 22.4 | 27.4 | 4.0 | 3.5 | 4.8 | 6.4 | -2.0 | 7.2 | 5.8 | 4.8 | -5.0 | -2.0 | 0.5 | 1.3 | | |
| INR | -1.0 | 7.3 | 13.5 | 5.4 | 8.5 | 1.5 | 0.9 | 1.7 | 0.4 | -1.2 | 1.2 | 0.9 | -2.1 | 0.6 | 0.6 | 5.5 | 1.6 | -0.5 |
| MXN | 3.9 | 5.0 | 2.1 | -4.9 | 2.3 | -0.6 | -1.4 | -2.4 | -0.3 | 2.4 | 1.7 | 2.1 | -1.2 | 0.2 | -0.7 | 0.3 | 0.1 | |
| EM | -26.2 | 67.9 | 34.4 | 109.1 | 58.3 | 12.2 | 12.4 | 13.6 | 12.6 | 11.4 | 31.2 | 23.8 | -39.1 | 5.7 | 19.1 | 17.3 | 5.8 | 0.0 |
| EM ex CNY & KRW | -7.0 | 53.1 | 53.8 | 73.3 | 46.2 | 14.4 | 12.1 | 7.6 | 3.4 | 10.4 | 31.5 | 15.6 | -25.5 | 4.9 | 3.8 | 12.6 | 5.8 | 0.0 |

Source: Central bank websites, HSBC. *For period, check *Table 1*.



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**Emerging Markets (EM):** Oil prices have held steady despite mixed signals around potential Middle East negotiations, which has been supportive for EM bonds this week. The high-frequency data we track shows net inflows across regions, likely reflecting a combination of lower core yields and the appeal of EM's higher carry given easing Fed hike expectations. In our view the broad-based inflows across regions suggests a tactical reallocation towards EM, particularly given positioning had been light, rather than a structural shift in flow dynamics. Flows are likely to remain sensitive to the risk of Fed rate hikes. That being said, we think relative policy stances across emerging and developed markets would increasingly be the key driver of bond flows, rather than idiosyncratic country conditions, given still-light positioning.

Higher-frequency flow data in *Table 1* shows that, in the latest reported week (ending date varies across markets), non-resident investors net bought USD25m of Korean Treasury Bonds (KTBs) in the secondary market, after net selling USD2.1bn last week. Across Asia, bond inflows were also seen in Indonesia (USD267m), Thailand (Corp + Govt, USD209m), and India (Corp + Govt + SDL, USD482m). The Philippines bucked the inflow trend with a modest decrease in foreign holdings of USD6m (Govt + Corp). In LatAm, all categories of Mexico government debt saw USD591m of buying, CEEMEA saw inflows of USD132m in Turkiye.

Below, we review the latest reported flow data and key developments for certain bond markets:

**Foreigner outflows in Korea turned positive this week:** Foreign investors had been net sellers of KTBs since late July with the exception of month-end WGBI inclusion flows (*Chart of the week*). We think the main reason was a sharp move higher in the cross-currency basis, which reduced arbitrage returns. The cross-currency basis likely tightened after a large amount of USD was brought onshore following a chipmaker's ADR receipts. Thus, onshore USD liquidity increased and pushed the cross-currency swap basis higher, making total KTB returns less attractive as it eroded the arbitrage incentive. The 1Y cross-currency basis has re-risen this week to around -20bp, which is roughly 40bp above its average since January 2026. As long as the cross-currency basis remains tight, we think it will be difficult for inflows to pick up meaningfully over the near term.

**Foreigner demand holds steady in Peru:** Foreign investors added a further USD405m to Peru government bonds in July. Inflows were seen across all tenors. Notably, demand for bonds with maturities under 5 years returned in July, after persistent outflows since March. Overall, appetite appears to have shifted up the curve slightly: in July, the 5-10Y bucket saw the largest inflows, whereas in June the strongest inflows were concentrated in tenors longer than 10Y.

**Marginal pickup in flows into SAGBs:** After two months of declining inflows, July saw a modest increase in foreign buying of USD201m. Even so, foreigners' share of outstanding SAGBs was broadly unchanged at 24.7% (24.8% in June). This suggests that the additional flow is less a sign of stronger demand and more consistent with investors reinvesting maturities. By instrument type, fixed-rate SAGBs and inflation-linked bonds (ILBs) saw outflows. The pickup was largely driven by increased foreign inflows into floating-rate notes (FRNs).

## Table 1: Foreign capital flows

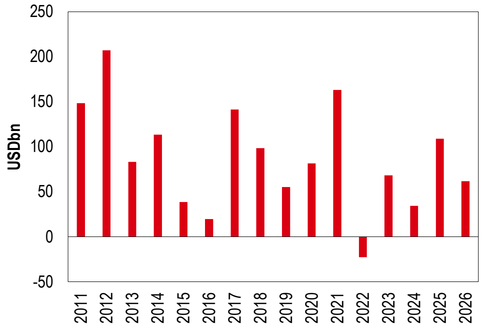
| ASIA EX JAPAN | Total flows (weekly/ monthly/quarterly) | Last week/month/ quarter flows | 4-week total flows | YTD flows$^{\Psi}$ | Previous year flows$^{\Psi}$ | Foreign holdings USDbn (LCYtrn) | Foreign ownership (% of total bonds) | As of |
|---|---|---|---|---|---|---|---|---|
| | in USDm | | | | | | | |
| **KOREA (weekly data)** | | | | | | | | |
| Total: Government debt | 103 | -2560 | -2583 | 13745# | 43519 | 222 (KRW328) # | 24.6% | 12-Aug-26 |
| KTBs | 25 | -2138 | -2717 | 19110# | 43504 | 214 (KRW316) # | 25.5% | 12-Aug-26 |
| MSBs | 78 | -421 | 134 | -5364# | 15 | 8 (KRW12) # | 12.4% | 12-Aug-26 |
| 10yr KTB futures | 44 | 1,846 | 846 | 8,340 | -11,334 | n/a | n/a | 12-Aug-26 |
| 3yr KTB futures | -336 | 4,321 | 8,408 | -9,927 | -1,373 | n/a | n/a | 12-Aug-26 |
| **INDONESIA (weekly data)** | | | | | | | | |
| Government bonds (IndoGBs) | 267 | 4 | -39 | 895 | 181 | 50.4 (IDR895.61) | 12.8% | 10-Aug-26 |
| **THAILAND (weekly data)** | | | | | | | | |
| Gross purchases/selling (Corp + Govt) | 209 | 303 | #N/A | 1,554 | 2,353 | n/a | n/a | 12-Aug-26 |
| Total: Government debt | 300 | 19 | -33 | 1,007 | 1,536 | 28.3 (THB0.94) | 7.5% | 7-Aug-26 |
| - Bonds (ThaiGBs) | 240 | 41 | -27 | 794 | 1,630 | 28.0 (THB0.93) | 9.5% | 7-Aug-26 |
| - BoT bills | 60 | -22 | -6 | 214 | -93 | 0.3 (THB0.01) | 0.4% | 7-Aug-26 |
| **INDIA (weekly data)** | | | | | | | | |
| Total: Corp + Govt + SDL | 482 | -527 | 1,611 | 8,733 | 6,037 | 60.8 (INR5.79) | n/a | 12-Aug-26 |
| Government bonds | 425 | -372 | 755 | 8,399 | 5,146 | 47.1 (INR4.48) | 3.6% | 12-Aug-26 |
| **MALAYSIA (monthly data)** | | | | | | | | |
| Total: Government debt | 995 | -1,701 | n/a | 350 | 4,459 | 68.8 (MYR0.28) | 20.6% | Jun-26 |
| - MGS | 836 | -498 | n/a | 2,892 | 4,958 | 58.2 (MYR0.24) | 33.6% | Jun-26 |
| - MGS + MGII | 648 | -1,752 | n/a | 187 | 5,387 | 68.3 (MYR0.28) | 20.6% | Jun-26 |
| - BNMNs + T-bills | 346 | 51 | n/a | 163 | -928 | 0.5 (MYR0.00) | 16.9% | Jun-26 |
| **CHINA (monthly data)** | | | | | | | | |
| Total: debt | -1,906 | 12,928 | n/a | -38,112 | -98,460 | 471.2 (CNY3.2) | 1.7% | Jun-26 |
| Policy bank bonds | -416 | 1,994 | n/a | 784 | -18,022 | 105.8 (CNY0.72) | 2.9% | Jun-26 |
| Government bonds | 1,591 | 9,030 | n/a | 1,348 | -7,482 | 296.8 (CNY2.01) | 4.7% | Jun-26 |
| **PHILIPPINES (weekly data)** | | | | | | | | |
| Gross purchases/sales (Corp + Govt) | -6 | -78 | -227 | -4,603 | 307 | n/a | n/a | 12-Aug-26 |
| Total: Government debt | -1,290 | -2,103 | n/a | -1,290 | 2,263 | 8.3 (PHP0.5) | 4.10% | 1Q26 |
| **SRI LANKA (weekly data)** | | | | | | | | |
| Total: Bonds | 0 | 19 | 155 | 142 | 240 | 0.6 (LKR0.19) | 1.0% | 6-Aug-26 |
| **LATAM** | in USDm | | | | | USDbn (LCYtrn) | | |
| **BRAZIL (monthly data)** | | | | | | | | |
| Total: Government debt (all categories of bonds, including NTN-F and LTN) | -2,021 | -5,016 | n/a | 3,539 | 27,356 | 177.3 (BRL0.88) | 10.4% | Apr-26 |
| Bonds (NTN-F) | 851 | 1,214 | n/a | 3,974 | 5,278 | 54.4(BRL0.27) | 42.6% | Apr-26 |
| Bills (LTN) | -3,404 | -5,724 | n/a | -4,033 | 6,877 | 71.7(BRL0.36) | 29.7% | Apr-26 |
| **MEXICO (weekly data)** | | | | | | | | |
| Total: Government debt (all categories of bonds including Mbonos and Cetes) | 591 | 62 | 801 | 2,753 | -4,856 | 103.1 (MXN1.79) | 11.3% | 3-Aug-26 |
| Bonds (Mbonos) | 601 | 54 | 515 | 1,328 | 2,602 | 86.7 (MXN1.50) | 26.3% | 3-Aug-26 |
| Bills (Cetes) | 13 | -188 | 203 | 1,392 | -1,811 | 12.2 (MXN0.21) | 8.4% | 3-Aug-26 |
| **COLOMBIA (monthly data)** | | | | | | | | |
| Government debt | 1,354 | -1,277 | n/a | -2,598 | 15,848 | 45.2 (COP154.51) | 19.8% | Jun-26 |
| **PERU (monthly data)** | | | | | | | | |
| Government Bonds | 405 | 322 | n/a | 2,442 | 3,748 | 26.2 (PEN0.09) | 46.4% | Jul-26 |
| **CEEMEA** | in USDm | | | | | | | |
| **HUNGARY (weekly data)** | | | | | | | | |
| Government debt (bills + bonds) | -92 | 308 | -312 | 13,058 | 2,387 | 31.6 (HUF9.99) | 31.1% | 12-Aug-26 |
| **TÜRKİYE (weekly data)** | | | | | | | | |
| Government debt (bills + bonds)^^^ | 132 | 955 | 2,411 | 2,228 | 2,518 | 17.3 (TRY0.82) | 8.8% | 31-Jul-26 |
| **SOUTH AFRICA (monthly data)** | | | | | | | | |
| Government bonds (nominal, inflation-linked, floating and sukuk) | 201 | 49 | n/a | 2,061 | 4,684 | 66.1 (ZAR1.09) | 24.7% | Jul-26 |
| **POLAND (monthly data)** | | | | | | | | |
| Government debt | -1,799 | 4,186 | n/a | 6,982 | 6,693 | 52.7 (PLN0.20) | 13.9% | Jun-26 |
| **CZECH (monthly data)** | | | | | | | | |
| Government bonds | -1,116 | 2,178 | n/a | 4,664 | -589 | 45.5 (CZK0.97) | 27.2% | Jun-26 |
| **ISRAEL (monthly data)** | | | | | | | | |
| Government bonds | 580 | 1,242 | n/a | 1,506 | 3,840 | 30.9 (ILS0.09) | 10.1% | May-26 |

### Table 1: Foreign capital flows

| DEVELOPED MARKETS | Total flows (weekly/monthly/ quarterly) | Last week/month/ quarter flows | 4-week total flows | YTD flows | Previous year flows | Foreign holdings | Foreign ownership (% of total bonds) | As of |
|---|---|---|---|---|---|---|---|---|
| | in local currency bn | | | | | | | |
| **US (weekly data, in USDbn)** | | | | | | | | |
| US Treasuries (official custodial holdings) | 8.5 | 35.5 | 28.1 | -62.8 | -196.8 | 2,697 | n/a | 5-Aug-26 |
| **TIC holding data (monthly data)**** | | | | | | | | |
| Total: US Treasuries | 13.1 | 30.5 | n/a | 176.8 | 584.2 | 9,371.1 | 30.3% | May-26 |
| Treasury bonds | 56.6 | 50.5 | n/a | 171.7 | 439.5 | 7,916.0 | 32.8% | May-26 |
| Treasury bills | -43.5 | -20.0 | n/a | 5.1 | 144.7 | 1,455.1 | 21.5% | May-26 |
| **UNITED KINGDOM (quarterly data, in GBPbn)** | | | | | | | | |
| Total: Gilts | 28.1 | 13.0 | n/a | 12.2 | 40.3 | 737.4 | 32.9% | 31-Dec-25 |
| **FRANCE (quarterly data, in EURbn)** | | | | | | | | |
| Negotiable government debt | -4.5 | 13.6 | n/a | -4.5 | 83.6 | 1,444.6 | 54.7% | 31-Mar-26 |
| **ITALY (monthly data, in EURbn)** | | | | | | | | |
| Government debt securities | 22.5 | -11.7 | n/a | 51.7 | 100.8 | 924.2 | 34.9% | Apr-26 |
| **SPAIN (monthly data, in EURbn)** | | | | | | | | |
| Unstripped government bonds | -2.6 | 1.3 | n/a | 34.6 | 78.9 | 689.1 | 50.5% | May-26 |
| **JAPAN (weekly data, in JPYbn)** | | | | | | | | |
| Total: Government debt | 559 | -185 | 380 | 6,642 | 18,528 | 157,770^ | 13.7% | 1-Aug-26 |
| **AUSTRALIA (quarterly data, in AUDbn)** | | | | | | | | |
| Total: Government debt | 20.2 | 3.5 | n/a | 20.2 | 50.2 | 469 | 50.86% | 1Q26 |
| **NEW ZEALAND (monthly data, in NZDbn)** | | | | | | | | |
| Total: Government debt | -2.2 | -1.5 | n/a | -0.6 | 14.5 | 118.1 | 55.8% | Jun-26 |
| Total: Government bonds | -2.9 | -1.0 | n/a | 0.2 | 15.3 | 111.3 | 61.1% | Jun-26 |
| Inflation-Indexed Government Bonds | 0.3 | -0.4 | n/a | -0.3 | -0.4 | 4.2 | 23.2% | Jun-26 |
| T-bills | 0.3 | -0.1 | n/a | -0.3 | -0.2 | 1.7 | 29.4% | Jun-26 |

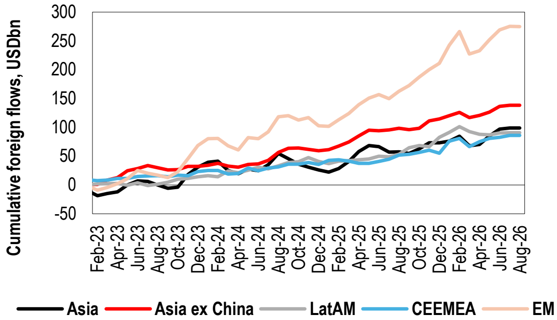
*US Treasuries held in foreign official and international accounts.
**Overall US Treasury holding data from Treasury International Capital.
^Foreign holdings and percentage ownership data refer to 1Q26.
^^Flows data are weekly for corporate and government debt.
^^^Türkiye reporting of foreign holdings in government securities has changed as of 13 August 2021.
^^^^Based on gross transaction volume and does not include bond maturities.
ΨYTD flows and previous year flows represent the year based on date reported in the last column of the table.
#Values as of May 2026.
Source: Central bank websites, Bloomberg, HSBC

### Figure 2. Foreign investment in EM sovereign debt



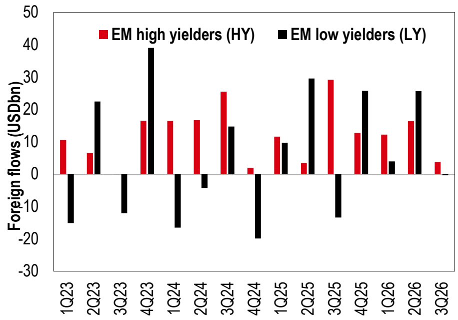

Source: nvestments into the 18 emerging markets mentioned on page 3. Source: Central banks, HSBC

### Figure 3. Distribution of foreign flows into sovereign debt, by region



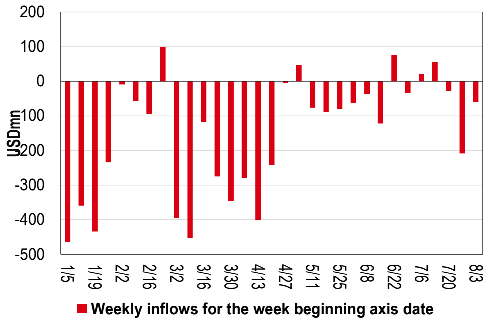

Source: Central bank websites, HSBC.

### Figure 4. Distribution of foreign flows into sovereign debt, by high vs low yielders



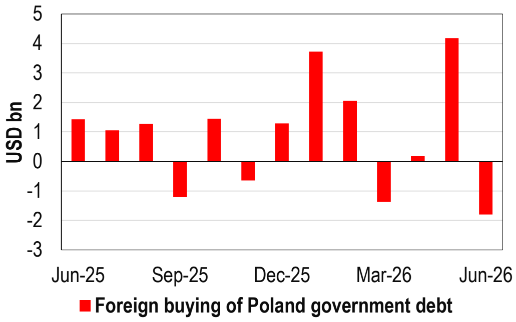

Source: Central bank websites, HSBC.

### Figure 5. Outflows continued in the Philippines



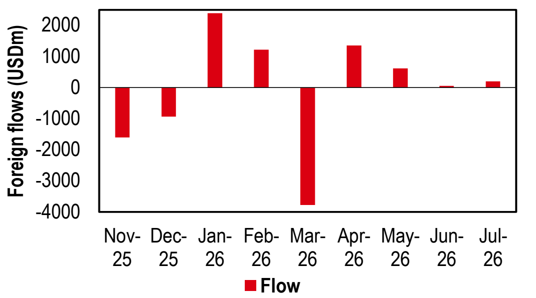

Source: : PDS, HSBC

### Figure 6. Foreign investors turned net sellers of PolandGBs in June



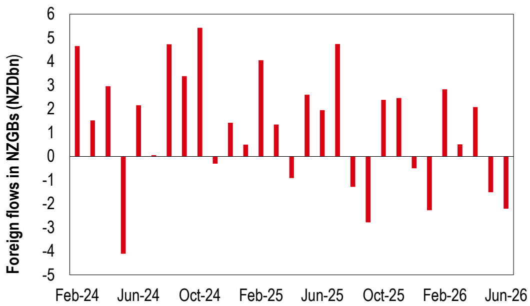

Source: RBI, CCIL, HSBC

### Figure 7. Inflows into SAGBs increased in July



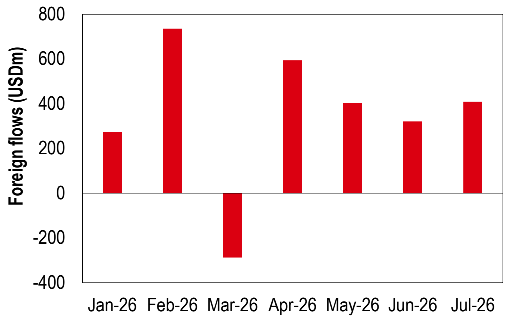

Source: National Treasury Department of South Africa, HSBC

### Figure 8. Foreign investors sold New Zealand government debt in June




Source: RBNZ, HSBC

### Figure 9. Non-resident investor inflows into Peruvian government debt was stable

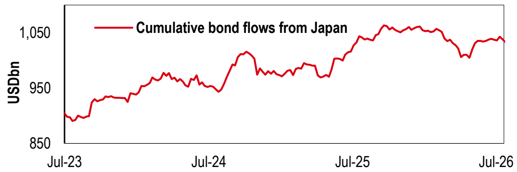



Source: MEF, HSBC

# Japanese investor flows

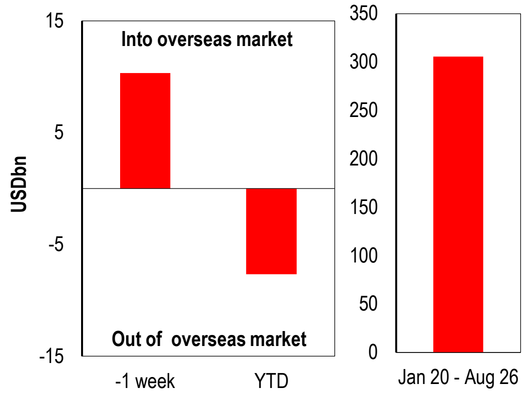
## Table 2. Weekly bond flows from Japan, up to 7 August 2026

| Flows in USDbn | -1 week | YTD | Jan 2020 to Aug 2026 |
|---|---|---|---|
| Net | **10.3** | **-7.7** | **305.7.** |
| Out of overseas markets | 46.2 | **1,693.8** | 23,619.4 |
| Into overseas markets | 56.5 | **1,686.2** | 23,925.1 |




Note: Includes sovereign and corporate.
Source: MoF, Bloomberg, HSBC.

## Figure 10. Net weekly bond flows from Japan, up to 7 August 2026



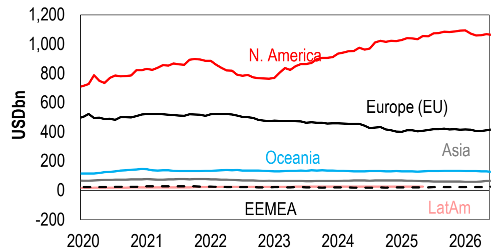

Note: Includes sovereign and corporate.
Source: MoF, Bloomberg, HSBC.

## Table 3. Net monthly bond flows from Japan, up to 30 June 2026 by region…

| (USDbn) | June 2026 | 2026 (YTD) | 2025 |
|---|---|---|---|
| Europe (EU) | 6.3 | 2.2 | 12.9 |
| North America | -5.0 | -26.8 | 69.2 |
| Oceania | -3.2 | -5.9 | 1.7 |
| EEMEA | 1.3 | 2.9 | 2.6 |
| Asia | 2.0 | 5.8 | -7.3 |
| LatAm | 0.1 | -0.4 | -1.1 |

Source: Inc Sov & Corp. MoF, Bloomberg, HSBC

## Figure 11. Monthly bond flows highlight that Japanese investors bought overseas debt in June 2026



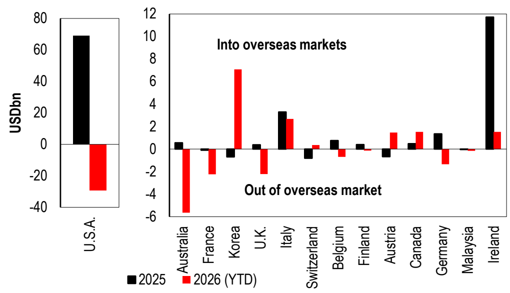

Note: Includes sovereign and corporate.
Source: MoF, Bloomberg, HSBC.

## Table 4. …ranked by market

| (USDbn) | June 2026 | 2026 (YTD) | 2025 |
|---|---|---|---|
| **U.S.A.** | -4.7 | -29.3 | 69.1 |
| **Australia** | -3.2 | -5.7 | 0.6 |
| **France** | 2.8 | -2.2 | -0.1 |
| **Korea** | 1.9 | 7.1 | -0.7 |
| **U.K.** | 1.2 | -2.2 | 0.4 |
| **Italy** | 1.2 | 2.7 | 3.3 |
| **Switzerland** | 0.6 | 0.4 | -0.8 |
| **Belgium** | 0.5 | -0.7 | 0.8 |
| **Finland** | -0.4 | -0.1 | 0.4 |
| **Austria** | 0.4 | 1.5 | -0.7 |
| **Canada** | -0.4 | 1.5 | 0.5 |
| **Germany** | 0.3 | -1.4 | 1.3 |
| **Malaysia** | -0.3 | -0.2 | 0.0 |
| **Ireland** | -0.2 | 1.5 | 11.7 |

Note: Inc Sov & Corp.
Source: MoF, Bloomberg, HSBC

## Figure 12. Japanese investments in overseas debt markets



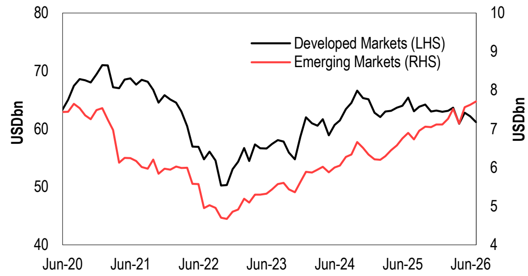

Note: Includes sovereign and corporate.
Source: MoF, Bloomberg, HSBC.

**Table 5. Japanese retail investors' holdings of foreign debt in June 2026**

| Country | Change in Japanese retail investors' foreign bond holdings (USDm) June 2026 | 2026 | 2025 | Current holdings (USDm) June 2026 |
|---|---|---|---|---|
| US | -526 | -1,169 | -337 | 40,416 |
| Euro bonds | -163 | -333 | 279 | 11,696 |
| Australia | -190 | 288 | 148 | 4,152 |
| UK | 8 | -414 | 253 | 2,620 |
| France | -70 | -20 | 215 | 2,817 |
| Italy | 9 | -41 | 113 | 2,336 |
| Germany | -32 | -88 | 10 | 2,235 |
| China | 31 | 310 | 260 | 2,292 |
| Spain | -79 | -91 | 35 | 1,606 |
| Canada | -57 | 2 | 16 | 1,407 |
| India | -2 | -134 | -57 | 1,099 |
| Brazil | -38 | 79 | 127 | 916 |
| New Zealand | -21 | -39 | -274 | 374 |
| Netherlands | -12 | -24 | -25 | 594 |
| Mexico | 9 | 64 | 192 | 919 |
| Belgium | 2 | -9 | -8 | 515 |
| Poland | 12 | 40 | 168 | 601 |
| Malaysia | -1 | 18 | 81 | 481 |
| Indonesia | -6 | -20 | 49 | 387 |
| Norway | -18 | -82 | 114 | 236 |
| Thailand | 0 | 7 | 33 | 258 |
| South Africa | 6 | 25 | 29 | 266 |
| Denmark | -1 | -12 | -18 | 163 |
| Singapore | -5 | 0 | 30 | 159 |

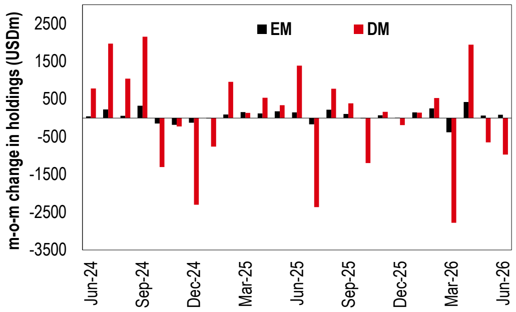
Source: Toushin funds, HSBC

**Figure 13: Japanese retail investors' holdings of DM and EM debt**



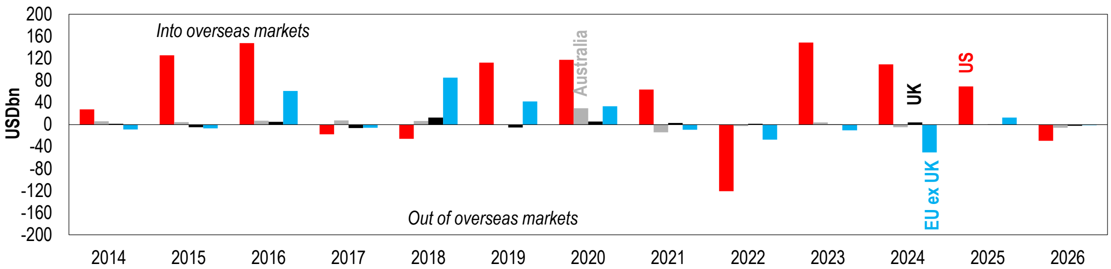

Source: Toushin funds, HSBC

**Figure 14: M-o-m change in Japanese retail investors' holdings of DM and EM debt**



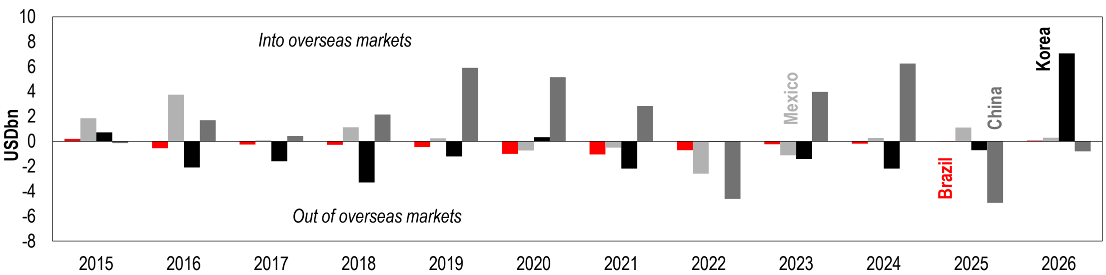

Source: Toushin funds, HSBC

**Figure 15. Japanese institutional investors have sold US debt so far in 2026**




Note: Includes sovereign and corporate.
Source: MoF, Bloomberg, HSBC

**Figure 16. Japanese institutional investors' demand for Korea government debt increased in 2026**




Note: Includes sovereign and corporate.
Source: MoF, Bloomberg, HSBC

# Explanatory notes

**Table 1. Foreign capital flows**

Based on the availability of the data (daily/weekly/monthly/quarterly frequency), foreign capital flows have been computed in USD terms as follows:

Daily flows = (Daily change in holdings in local currency)/(End of day exchange rate vs USD)

Weekly flows = (Weekly change in holdings in local currency)/(End of week exchange rate vs USD)

Monthly flows = (Monthly change in holdings in local currency)/(End of month exchange rate vs USD)

Quarterly flows = (Quarterly change in holdings in local currency)/(End of quarter exchange rate vs USD)

The annual and year-to-date foreign capital flows have been computed as a sum of periodic flows in US dollar terms (daily/weekly/monthly/quarterly).

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**ASW** (also asset-swap, Buy on asset swap, Buy on an asset-swapped basis): Buy a bond packaged with a swap that is tailored to eliminate the bond's interest rate risk, effectively transforming the bond to a floating rate instrument whilst preserving the credit exposure to the bond issuer.

**RASW** (also reverse asset-swap, Sell on asset swap, Sell on an asset swapped basis): Sell a bond packaged with a swap that is tailored to eliminate the bond's interest rate risk, effectively transforming the bond to a floating rate instrument whilst preserving the credit exposure to the bond issuer.

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| | | |
|---|---|---|
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| **Neutral** | 41% | (0% of these provided with Investment Banking Services in the past 12 months) |
| **Underweight** | 27% | (0% of these provided with Investment Banking Services in the past 12 months) |

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| | | |
|---|---|---|
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